TEACHER GUIDE

Pearson Edexcel International GCSE in Business (4BS1)

# Organisational structures

Section 2
2.5 Organisation structure



A revision lesson. Pupils run a car dealership in firms of four and revise organisational structures on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

45-minute setting

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Too wide a span

Round 1

Your sales manager leads 15 staff and has no time to coach the new ones.

**Which change would help most?**

- **A** Widen the span of control further
- **B** Remove the sales manager's post
- **C** Add a team leader for some staff
- **D** Move all decisions to head office

**ANSWER**

**✓ Add a team leader for some staff**

**Why:** A narrower span gives each manager time for each worker.

## 2 Flatter structure

Round 1

You remove a layer of managers.

**Which two effects are most likely?**

- **A** More chances of promotion
- **B** Lower management costs
- **C** Closer supervision of staff
- **D** Narrower spans of control
- **E** Messages travel faster

**ANSWER**

**✓ Lower management costs**
**✓ Messages travel faster**

**Why:** Fewer layers: quicker messages and fewer managers to pay, but wider spans.

## 3 Chain of command

Round 2

A salesperson's idea goes up the chain of command.

**Put the route in order, first to last?**

- **A** The managing director
- **B** The branch manager
- **C** The sales team leader
- **D** The salesperson

**ANSWER**

**1. The salesperson**
**2. The sales team leader**
**3. The branch manager**
**4. The managing director**

**Why:** The chain of command runs from the bottom of the structure to the top.

# Topic tasks

## 4 Delayering saving

Round 2

You remove a layer of supervisors.

**Yearly saving in pay?**

| | |
|---|---|
| Supervisors removed | **5 staff** |
| Pay of each, a year | **£22,500** |
| Managers who take their staff | **3 staff** |
| Pay rise for each manager | **£3,000** |

**ANSWER**

**£103,500**

5 × £22,500 − 3 × £3,000 = £103,500

**Why:** Delayering cuts pay costs, but each manager now leads more staff.

## 5 Who sets prices

Round 3

Head office sets every branch's prices. One branch keeps losing sales to a cheaper local rival.

**What should you change, and why?**

**A** Let the branch set its prices

**B** Keep all pricing at head office

**ANSWER**

**✓ Let the branch set its prices**

**Why:** The manager who knows local buyers can react faster.

## 6 Tall structure

Round 3

Your firm has six layers, and each manager has only three staff.

**Which problem is most likely?**

**A** Slow decisions through many layers

**B** Too few chances of promotion

**C** Staff given too much freedom

**D** Managers too busy to supervise

**ANSWER**

**✓ Slow decisions through many layers**

**Why:** Narrow spans make a tall structure, so messages pass many people.

# Final questions

Each pupil answers 6 final questions on organisational structures. They come from these 10 questions.

Then each pupil writes one short answer: “Explain why a flat structure can speed up decisions.”

1 In a growing dealership, what does delegation mean for a manager and their team?
✔ **A manager passes on authority but stays accountable**

2 The CEO removes a management layer, so six supervisors now report directly to the CEO. What is the likely trade-off?
✔ **Faster communication, lower cost, but a wider CEO span of control**

3 Tall means many levels; flat, few. Worked case: a six-level chain takes a week to decide a branch request. A group cuts two of five levels. Gain and cost?
✔ **Faster decisions, but fewer promotion steps and less supervision**

4 Eight technicians report directly to the service manager, with nobody in between. Which structure feature is this?
✔ **A span of control of eight**

5 A dealer group has six levels from technician to chief executive. Which type of structure is this?
✔ **A tall (hierarchical) structure**

6 What is an advantage of a flat structure for a small dealership?
✔ **Messages pass quickly between staff and the owner**

7 What is a drawback of a tall structure for a national dealer group?
✔ **Decisions take longer to pass down the levels**

8 What does an organisation chart of a dealership show?
✔ **Who reports to whom in the business**

9 A dealer group removes its layer of regional managers. What is the most likely effect?
✔ **Branch managers report straight to head office**

10 An organisation chart shows a chief executive, 3 managers under her and 5 staff under each manager. How many people are on the chart?
✔ **19 people**